LONG CPRT (NASDAQ:CPRT) | Target Price: $37.30 | Upside: 35.2% | 12M Horizon | Value today: $34.21 (+24.0%)

Recommendation: We recommend long Copart. The stock is down 40% from its 52-week high and trades at 10.7x forward EBITDA against a 2022 to 2025 average of 20.7x and a trough of 14.8x. The business lost one insurance carrier (US units fell 6.9% in FY26), gave up 300bp of operating margin to a cost build that ran ahead of volume, and announced a $1.9B acquisition under a new CEO. The stock lost 16 turns of EBITDA. We think one of those two is a mistake, and we do not need the market to agree quickly: Copart holds $4.49B of cash and securities, no debt, and a 282M-share authorization (30% of the count) after repurchasing $1.6B in FY26. Our operating estimates sit on consensus (FY27 EBITDA $1,953M against about $1,956M). The variant view is capital allocation and the multiple, not the P&L. At $27.59 the market implies a 9.6x FY31 exit, 2.5% perpetual growth and 1.0% a year of US revenue per unit growth. We underwrite a 13.0x exit, 12% below the 2022 to 2025 trough, which gives a probability-weighted value of **$34.21 today and $37.30 in 12 months (+35.2%)**, against 9.8% expected from the S&P 500 at a 0.84 beta. If the multiple never recovers (11.3x), the stock is still worth $30.62, and the buyback compounds EPS at 8.8% a year underneath.

Business Overview: Copart is the leading online salvage-vehicle auction platform in North America and the infrastructure insurers use to dispose of total-loss vehicles. When a car is totaled, the insurer holds a damaged asset it cannot store, title, or sell. Copart tows it, stores it on company-owned land, clears title and liens, photographs and catalogs it, and sells it online to roughly 1M members in 185 countries. The network moved 4M+ units in FY26 across 286 locations in 11 countries, with 72.3% of volume originating from insurers. Copart runs most volume through consignment, where it never owns the vehicle and earns buyer, seller and ancillary fees with low inventory risk (consolidated gross margin 49.8%, EBITDA margin 40.5%, EBIT margin 35.4% in FY26). A smaller principal model buys and resells vehicles at lower margin. Profit is concentrated in the US (FY26 EBIT $1,419M of $1,653M); international ($234M) is smaller and growing faster.

Price (25 Sep 2026)	Market cap / EV	Net cash	EV/EBITDA FY26A / FY27E	P/E FY26A / FY27E	52-week range	Street ratings
$27.59	$25.6bn / $21.1bn	$4.49bn	11.2x / 10.8x	17.8x / 16.6x	$25.72 − $45.89	7 Buy / 4 Hold / 1 Sell

Industry Overview: Copart competes in two related markets: salvage resale and clean-title wholesale. In salvage resale, insurers outsource towing, storage, title processing and auctions for totaled vehicles. This is a North American duopoly: Copart and RB Global's IAA hold more than 80% of the market. The barriers are physical (industrially zoned land near metros, surge capacity for catastrophe events) plus buyer liquidity, which acts as a network effect; international bidders account for 45.8% of US auction dollars. Volume is the product of claim frequency and total-loss rate, and the two are pulling in opposite directions: assignments are weak near term while total losses reached a record 23.1% of claims in 2025 on a 12.8-year-old fleet. Repair-cost inflation is the structural tailwind. Competition is the live risk: IAA has cut cycle times, reportedly lifted its share of Progressive salvage units from ~75% to ~90%, and RB Global grew auto units 11% in Q2 2026 after integrating volume from its largest insurance partner across 30 states in 90 days. In clean-title wholesale, Manheim and ADESA lead, with OPENLANE and ACV (~8%) the digital platforms; the pending ACV deal is Copart's entry.

Thesis 1: The de-rating is a mistake, not a verdict. FY26 EBIT of $1,653M is within 3% of the FY25 peak, EBITDA margin is above 40%, and net cash is $4.49B. Those are not the numbers of a broken franchise, but the stock has never traded within four turns of today's multiple in the last five years (Figure 1). Bloomberg puts CPRT's premium to its comp set at 20% against a five-year average of 64%, 1.3 standard deviations below; at its own average premium the implied multiple is 14.6x ($35.97). Each turn of exit multiple is worth about $1.70 a share today. We do not assume a return to normal: our 13.0x base exit is below every quarter from December 2021 to December 2025. We show the 11.3x case separately as a floor, and it still gives +11%. We state the trade-off openly: 13.0x at a 9.04% WACC implies 4.1% perpetual growth; the Gordon cross-check at 3.4% reproduces the floor ($30.53), so the difference is the re-rating we are underwriting, about $3 a share.

Figure 1. CPRT forward EV/EBITDA, Dec 2021 to Dec 2026

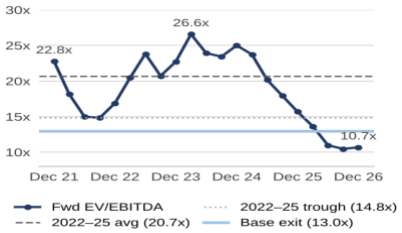


Figure 2. U.S. unit growth, reported vs ex lost customer

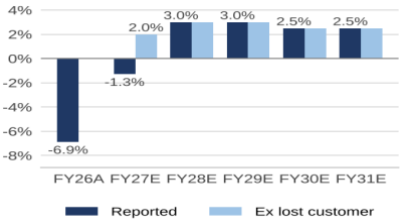
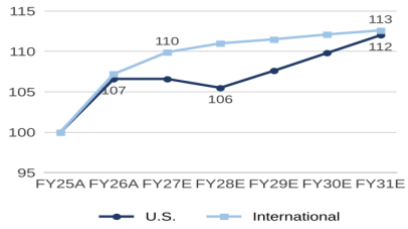


Figure 3. Facility cost per unit, FY25 = 100



Thesis 2: The operating damage is bounded, and each piece is testable at the 20 November print. First, the cost step. FY26 was an investment year: 25 dedicated wholesale facilities, long-haul delivery and TitleExpress, whose cost arrived before volume. The reported G&A line rose from 5.2% of revenue in FY23 to 8.0% in FY26 and US facility cost per unit rose 6.6%. We do not reverse it; we hold it. We model US cost per unit flat in FY27, down 1% in FY28, then rising with inflation (Figure 3), with G&A growing 3.5 to 4% a year. EBIT margin recovers from 35.4% to 37.2% by FY31, still 1pp below FY23's 38.4%. **Second, the lost customer.** US units fell 6.9%, but excluding a single departed carrier, Q4 domestic insurance assignments grew 2.3%. We assume the lost volume is never recovered (95.5% retention on a 72.3% insurance share). Insurer economics have turned (personal-auto combined ratio 95.3% to 91.8%; State Farm cut premiums ~10% across 40 states), which lets more damaged vehicles enter insurer salvage channels. Reported US units fall 1.3% in FY27 while the underlying business grows 2.0% (Figure 2), then grow 3.0%, 3.0%, 2.5% and 2.5%, with revenue per unit up 2% a year against 6.1% in FY26. **Third, international.** This is a volume story, not a margin story. Dunfermline and Gloucester add UK capacity in 2026, a major German insurer moved to full consignment, and Q4 assignments rose 10%. We model units up 7% fading to 6%, cost per unit up 2.5% in FY27 as the yards open and 0.5 to 1% after, and segment margin roughly flat at 27.2% to 27.6%; segment operating income still rises from $234M to $346M by FY31. On these assumptions FY27 and FY28 EBITDA are within 1% of consensus. We are not above the Street on operations.

Thesis 3: Management can close the gap itself. Copart repurchased $1.6B of stock in FY26 and has 282M shares of authorization left. We model 80% of free cash flow going to repurchases from FY27, after $1.9B for ACV and above a $1.0B liquidity floor: $5.9B over five years, taking the diluted share count from 926M to 754M. EPS compounds at 8.8% a year ($1.55 to $2.44) while net income grows 4.9%; FCF per share reaches $2.17. At 11x, free cash flow alone retires about 4% of the company a year. The split matters for the consensus comparison: on a static share count our FY27 and FY28 EPS are 0.2% and 3.2% below the Street; with the buyback they are 1.8% and 2.9% above. The Street is not pricing $5.9B of repurchases from a 10.7x multiple.

Analysts: Ahmed Turki, Nelson Liu, Isaac Hernandez

Valuation: Our five-year unlevered DCF (FY27-31E, mid-year convention) grows revenue from $4,666M to $5,878M (4.7% CAGR) at a 9.04% WACC (risk-free 5.18%, beta 0.84, ERP 4.60%). We run four exit multiples, each tied to a level the market has paid (Figure 5): Bull 15.0x, the 2022 to 2025 trough; Base 13.0x, 12% below it; Floor 11.3x, today's multiple; Bear 9.6x, what the market price implies for FY31. The base DCF gives $33.63; FY+1 trading comps (RB Global 13.4x, OPENLANE 12.5x EV/EBITDA; 19.9x and 25.7x P/E, on our declining share count) give $35.09; the 50/50 blend is $34.36. Weighting Bull, Base and Bear 25/50/25 gives $34.21 today, and rolling forward 12 months at the 9.04% cost of equity gives the $37.30 target. The honest risk:reward is 1.28x: $6.62 of upside against $5.15 of downside to the Bear DCF ($22.44, −19%). Terminal value is 79.5% of EV, and 11.6% of 5,000 Monte Carlo runs land below the price (P25 to P75 $30.11 to $37.20). We value ACV at its $1.9B cash cost; a full write-off costs $2.05 a share. Over a longer horizon the asymmetry improves: at 13.0x the stock compounds at 12.5% a year to FY31, at 11.3x 9.7%, and the Bear case returns capital intact because the buyback keeps working while EBITDA is flat.

Figure 4. Value per share by case, today

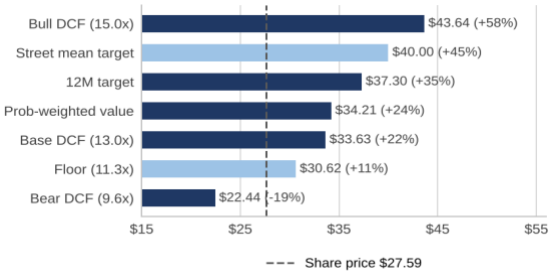


Figure 5. Scenarios, target build and multi-year returns

Scenario	Prob.	DCF	Blend	FY31 value	5-yr IRR
Bull: US units +4%, 15.0x	25%	$43.64	$40.89	$68.42	20.6%
Base: unit calc, 13.0x	50%	$33.63	$34.36	$48.92	12.5%
Floor: base ops, 11.3x	shown	$30.62	–	$43.23	9.7%
Bear: US units −3% then flat, 9.6x	25%	$22.44	$27.22	$28.30	0.5%
Probability-weighted value today			**$34.21**		
12-month target (× 1.0904 cost of equity)			**$37.30**		
Upside today / Bear DCF downside / risk:reward: +24.0% / −18.7% / 1.28x					

FY31 value = exit multiple × FY31 EBITDA plus cash and securities, over the ending share count; IRR from $27.59 over 4.85 years. Comps: FY+1 EV/EBITDA and P/E medians of RB Global and OPENLANE. Bear exit is the market-implied multiple.

Event Path & Catalysts: (1) **Q1 FY27 results (20 November 2026)**: US cost per unit and ex-customer assignments are the first test of Theses 1 and 2; consensus EPS $0.396, EBITDA $474.6M. (2) **ACV close (targeted by end of calendar 2026) and the capital-return update**: $4.49B of net cash, 282M shares authorized, and a 10-K that says management is "considering a variety of alternative potential uses for our remaining cash." We track repurchases quarterly; FY26's pace was $1.6B. (3) **Q2 FY27 results (February 2027)**: the lost customer laps and reported US assignments should turn positive. (4) **Through 2027**: further carrier rate cuts lifting insured vehicle counts, and utilization at Dunfermline and Gloucester.

Key Risks & Mitigants:

Risk	What could go wrong	Mitigant
A second carrier leaves	Insurers supply 72.3% of units; IAA reportedly lifted its share of Progressive salvage from about 75% to 90% and RB Global grew auto units 11% in Q2 2026. The market may know a negotiation we do not.	Ex-customer assignments still grew 2.3%. Each 5pp of insurance retention costs about $1.05 a share on the base DCF ($33.63 at 95.5%, $32.54 at 90%, $31.55 at 85%). Our Bear case has US units −3% in FY27 and flat after, and still values the stock at $22.44 on the DCF.
Margins fail to recover	Q4 FY26 operating income fell 10.6% on revenue up 2.4% as facility costs rose 7.7%.	We hold the cost base flat rather than reversing it, and quote EBIT margin (37.2% by FY31, below the FY23 peak) alongside EBITDA. We exit if US cost per unit rises more than 5% without a volume recovery, or G&A grows faster than FY26's 7.0%, in Q1 or Q2 FY27.
Capital allocation (ACV, new CEO)	Copart pays about 25x forward EBITDA for a business with roughly 2% EBITDA margins; the new CEO's first large decision is a dilutive acquisition. JPMorgan's rating is suspended, which suggests it is advising.	Management guides EPS-neutral in year one and accretive from FY28; it is 7% of market cap and a full write-off costs $2.05 a share. The buyback case rests on free cash flow, which ACV does not change in FY27. We exit if no repurchases occur while net cash builds.
Multiple never recovers	The market may treat 11x as the new normal for a business that lost a top customer.	That is our floor case: $30.62 today (+11%) and 9.7% a year to FY31 from buybacks and earnings growth alone.
International execution	New yards may cannibalize old ones, and international G&A rose about 29% in FY26.	We model margin roughly flat; volume alone takes segment operating income to $346M. The Bear case, with pricing falling as in FY24 to FY25 and costs at UK inflation, gives a 20.8% margin and costs the Bear DCF about $1.

Link to model

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